



Instituto Tecnológico Autónomo de México

ADM 12108 Estrategia de Negocios II - Estrategia Empresarial

Spring 2017

Syllabus updated on January 17, 2017

Instructor: Alexandros Fakos

Logistics

Office: Santa Teresa campus, ground floor

Office Hours: Mon and Wed 2pm - 3pm at my office or on Skype. Email me in advance to make an appointment.

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E-mail is the most preferable way to communicate with me outside the classroom. Since my office is *not* at the Rio Hondo campus, for your convenience, during office hours I will be also available on Skype.

Comunidad

There is an E-Learning webpage for this course called Comunidad. To access Comunidad, you will need your ITAM username and password. The course webpage is located here: <https://goo.gl/n0SrGw>. Material will be uploaded online regularly. I usually upload lecture slides the following day of the lecture.

Ground rules

- Call me Alex
- Don't be late for class. Class starts 5 minutes late to accommodate students with back-to-back classes.
- Cellphones should be out of sight during class.
- No texting.
- No listening to music.
- You are free to use a laptop as long as it is for educational purposes regarding the course (e.g. look at lecture notes, look up words in the dictionary) and you don't disturb your fellow students or me.
- No chatting
- No food/coffee during class. You can bring water.
- If you have to leave the classroom before the end of the lecture sit by the door.

The instructor reserves the right to change the terms and dates stated in this course syllabus at any time. Any changes will be communicated in class and via email. It is solely students' responsibility to stay informed of any changes.

General Course Information

Main Textbooks

1. Besanko, Dranove, Shanley and Schaefer (2013)
2. Brandenburger and Nalebuff (2011)

Additional Books

3. Dixit and Nalebuff (1993)
4. Dranove and Marciano (2005)
5. Gibbons (1992)
6. Shapiro and Varian (1999)
7. Zimmerman, Smith Jr and Brickley (2015)

Copies of these books can be found in the library. Please note that older or newer versions of these books are also acceptable as long as students are able to identify and keep up with the appropriate topics and materials covered in class.

Additional material is included in the lecture slides. Reading the main text books is not enough to perform well in the course.

Course Description

This course provides an introduction to strategic thinking in the context of business. The objective of the course is to develop tools useful to making decisions in situations involving *counterfactual* scenarios. Counterfactual scenarios are situations that have *never been observed in the past*. Such situations arise due to technological change such as the introduction of the smartphone, demographic change such as the increase in life expectancy, policy change such as international trade liberalization, a competitor acquiring a patent, a merger of two competitors or suppliers, etc.

The core ideas developed in this course revolve around the following themes: consumer demand and firm competitive advantage, dynamic vs. static decisions, decision-making under uncertainty, applied game theory, balanced score cards, ethics and corporate social responsibility. Considerable time will be spend on the applied game theory part of the course in which we will analyze situations where the choices that we make affect others and the choices others make that affect us. Such situations are known as games. We

will discuss real-world examples and analyze situations that arise frequently in business settings. Regarding games, the focus of the course will be on the application of game-theoretic concepts, not mathematical proofs.

Prerequisites

Concepts developed in the course Estrategia de Negocios I are considered known. The set of these concepts includes, but is not limited to, the sustainable competitive advantage as a firm objective, the five-forces and the resource based-view-of-the-firm frameworks to analyze a firm's external and internal environment. This course is taught on the assumption that students are familiar with this material. Students who have not taken Estrategia de Negocios I in the past are welcome but are expected to familiarize themselves with the material developed there on their own. I suggest these students to read the first two parts of Besanko, Dranove, Shanley and Schaefer (2013)

Course Structure and Content**Learning Objectives**

After successfully completing this course students should be able to

- Identify counterfactual scenarios
- Understand the importance of consumer heterogeneity for firm profitability
- Separate dynamic from static decisions.
- Use the concept of equilibrium to construct consistent scenarios.
- Solve for the equilibria of a game using the following equilibrium concepts: Iterated elimination of strictly dominated strategies, Nash equilibrium, Backwards induction, Subgame-perfect equilibrium.
- Demonstrate an understanding of the importance of corporate social responsibility and ethics for firm performance.

Teaching Methodology

Key concepts and core examples will be presented during lectures. In-class discussion is important for students to digest the material. Therefore, student participation is necessary especially in the discussion of real world examples.

Participation: Even though attendance is not mandatory to pass the course, in-class participation constitutes 10% of the final grade. I *try* to reward effort and creativity through participation.

Tests: Short tests might be administered in the beginning of each lecture with or without prior notice.

Team work: You should form teams of five people by the end of the second week of classes. It is important to learn early on to work with others and team assignments serve this purpose. Teams will be assigned homework and in-class presentations.

Term paper/Essay: Term papers (sort essays) are due towards the end of the semester. Each student is required to analyze a real-world business case using some of the tools developed in class.

Evaluation of Performance and Grading

Throughout the semester students will have the opportunity to earn up to 10 points. The maximum points available for each course task (i.e. exams and homework assignments) are indicated in table 1.

Table 1: Maximum points available for each task

Course task	Possible points
Midterm Exam (departmental)	3
Final Exam (departmental)	2.5
In-class Tests	1.5
Team Assignments	1
Individual Participation	1
Term Paper	1
Total	10

Course grades: The sum of all the points a student has acquired during the semester (point total) is not a final course grade. Point totals are used to rank students in a descending order. Course grades are calculated in the following way:

1. Students who either failed the final exam (scored less than 60%), or have a point total less than 6, *fail the course*.
2. Among the students who pass the course, their course grade is calculated according to the distribution in table 2.

Table 2: Course-grade distribution

Point-totals distribution percentiles	Course grade
90 < - ≤ 100 (top 10%)	10
70 < - ≤ 90	9
40 < - ≤ 70	8
15 < - ≤ 40	7
0 ≤ - ≤ 15 (bottom 15%)	6

To summarize, passing or failing is *absolute*. You need to demonstrate an understanding of the main ideas in class in order to pass the course. If you perform well enough to pass, your grade is determined by your *relative* performance with respect to your fellow students.

Academic Integrity

En caso que el alumno sea encontrado cometiendo una práctica fraudulenta, se calificará la materia como no acreditada (N.A.) y la notificación correspondiente será incluida en el expediente del alumno (Artículo No. 29 del Reglamento de Alumnos de Estudios Profesionales)

Esperamos de los estudiantes que:

- Tengan el compromiso de operar con integridad en sus tratos con la facultad y otros estudiantes.
- Estudien los materiales asignados con atención y dedicación.
- Participen y se involucren en los temas y debates de la clase, en especial al ser desafiados por actividades de aprendizaje difíciles.
- Contribuyan al aprendizaje de otros.
- Tengan un desempeño al nivel establecido por la facultad.

Los estudiantes no deben copiar el trabajo de otros estudiantes o trabajos publicados. Por el hecho de estar inscritos en este curso, los alumnos se comprometen a no dar o recibir ayuda no autorizada durante exámenes, controles y casos, ni tolerar entre ellos a los alumnos que así lo hagan. Pasar notas de casos u otros materiales a otros estudiantes,

incluyendo aquellos que no han tomado el curso o que están inscritos en otros grupos, es una violación del código de honor de la clase.

Course Outline

(an asterisk * indicates mandatory reading)

1 Basic economic concepts

Definition of the generic decision problem and motivation for the need of theory and data in decision-making, competitive advantage, sustaining competitive advantage, consumer demand, strategic positioning.

*Besanko, Dranove, Shanley and Schaefer (2013) chapters: ‘Economics Primer: Basic Principles’, ‘Strategic Positioning for Competitive Advantage’, ‘Sustaining Competitive Advantage’. Sections: ‘Barriers to Entry’.

*Shapiro and Varian (1999) chapters: ‘Recognizing Lock-In’.

*Dranove and Marciano (2005) chapter: ‘B minus C: Position your firm against the competition’.

Dranove and Marciano (2005) chapter: ‘How to sustain your competitive advantage’.

Zimmerman, Smith Jr and Brickley (2015) chapter: ‘Economics for Strategy: Creating and Capturing Value’.

2 Co-opetition

The value net and the importance of complementors.

*Brandenburger and Nalebuff (2011) chapter: ‘Co-opetition’, Brandenburger and Nalebuff (1995) section: ‘The game of business’.

3 Basic game-theoretic concepts

Players, payoffs, strategies, equilibrium, categorization of games (simultaneous, dynamic), dominance and iterated dominance, Nash equilibrium, backwards induction.

*Gibbons (1992) chapters: ‘Static Games of Complete Information’, ‘Dynamic Games of

Complete and Perfect Information’.

*Lindstädt and Müller (2010)

*Dixit and Nalebuff (1993) Example: ‘Order in the court’.

Maskin (2008)

4 Uncertainty and scenario planning

Decision making under uncertainty, construction of scenarios, option value, generic tactics in uncertain situations.

*Courtney, Kirkland and Viguerie (1997)

*Schoemaker (1995)

*Antonio Lloret (2010), Nota técnica. Estrategia en condiciones de incertidumbre. ITAM

*Besanko, Dranove, Shanley and Schaefer (2013) subsection: ‘Real Options’ in chapter ‘Dynamics: Competing Across Time’

Midterm Exam

The exact date of the midterm will be determined later on in the semester. The material covered in the exam will become evident as the time approaches.

5 Game-theoretic applications

Commitment, value added, changing the game in your favor.

*Brandenburger and Nalebuff (1995)

*Dixit and Nalebuff (2008) Example: ‘It can be lonely at the top’.

*Brandenburger and Nalebuff (2011) chapters: ‘Players’, ‘Added Values’, ‘Rules’, selected examples from ‘Tactics’

*Shapiro and Varian (1999) chapters: ‘Managing Lock-In’.

6 Balanced Score Cards

The tool of balanced score cards for internal organization and planning.

*Kaplan and Norton (1992)

*Kaplan and Norton (1996)

7 Business Ethics

Ethical systems and business ethics.

*Baron (2000) chapters: ‘Ethical Systems: Utilitarianism and Management’, ‘Ethical Systems: Rights and Justice’

*Velasquez, Moberg and Cavanagh (1983)

8 Corporate Social Responsibility

Corporate social responsibility and competitive advantage.

*Porter and Van der Linde (1995)

*Porter and Kramer (2002)

*Porter and Kramer (2006)

About the instructor

I obtained my PhD in Economics from the Pennsylvania State University in 2015. My research focuses on the empirical analysis of firm decisions in dynamic settings. For more details see my webpage.

References

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